

Volume. I don't show a table of volume statistics because there's not much to tell. I found the average volume in the cloudbank (pattern start to end), in the drop leading to the lowest low (after pattern end to month before the lowest low), and at the lowest low (using the average of the one month). In 80% of the cases, volume was higher during the drop than during the cloudbank.

When price bottomed at the ultimate low, just 44% of the time, volume was higher than during the cloudbank or subsequent drop. In other words, volume doesn't give a reliable clue when the stock might turn upward for a sustained recovery.

Trading Tactics

[Table 18.4](#) shows trading tactics. The sample trade provides more detail on how the moving average setup works.

Bear market. The majority of cloudbanks have price that bottoms in or near (within less than a month of) a bear market. After the bear market ends, everyone jumps in to buy cheap stocks and the bull market begins with gusto, carrying stocks upward.

Measure the drop. As the stock drops out of the cloudbank, measure how far it has dropped. I used 40% as the minimum drop for a cloudbank trade. If you buy into a cloudbank with a drop less than 40%, you risk seeing price continue lower or a small potential profit.

As mentioned in [Table 18.2](#), the usual drop below the bottom of the cloudbank averages 66% (median 64%); however, those cloudbank trades that struggle to return to the cloud have drops averaging 82% (86% median). Thus, if your stock is down substantially (more than 66%), it may take an unusually long time to recover to the cloudbank, if it ever does.